



[Bitcoin Guide 2025](#)

Dear clients,

The crypto market has evolved significantly in recent years, with the investment strategies in this space becoming more and more sophisticated. The maturity of these markets is reflected not only in substantial improvements to liquidity and infrastructure but also in the diversified financial instruments now available for trading and investment purposes. From spot markets to derivatives, traditional platforms to blockchain-based protocols, the advances in this industry have ushered in a wide array of products and tools for practitioners.

For bitcoin specifically, institutional players can now gain exposure to BTC through spot, fixed-term futures, perpetual futures, options, exchange-traded products (ETPs/ETFs) and equity proxies, among others. While perpetual futures have outpaced most markets (including spot) in trading volume, this activity has thus far been primarily relegated to retail traders outside the US. Our recent survey data suggests US institutions mainly invest in crypto via spot and ETPs.

But the shift in the US regulatory landscape could pave the way for broader participation from hedge funds, CTAs and other institutions, who tend to rely on derivatives for these vehicles' capital efficiency, liquidity and flexibility. Furthermore, the question of where institutions choose to trade – whether through centralized exchanges, decentralized exchanges (DEXs) or over-the-counter (OTC) – illustrates the expanding suite of choices that institutions have to help align their operational objectives. In this report, we analyze the various products available to institutional investors by comparing their efficiency, size, costs and tradeoffs as well as examining the market dynamics shaping their adoption.

[Read full report](#)

Best,
The Coinbase Research Team

Market outlook

Read the latest crypto market analyses from Coinbase Institutional Research.

[Read now →](#)

Also, please take a look at our [Institutional Research portal](#) for an archive of all our research reports.

Subscribe

Not subscribed to our research reports and want to be added to the list?

[Subscribe here →](#)



COINBASE and related logos are trademarks of Coinbase, Inc., or its Affiliates. The views and opinions expressed herein are those of the author(s) and do not necessarily reflect the views of Coinbase and summarizes information and articles with respect to cryptocurrencies or related topics. This material is for informational purposes only and is only intended for sophisticated investors, and is not (i) an offer, or solicitation of an offer, to invest in, or to buy or sell, any interests or shares, or to participate in any investment or trading strategy, (ii) intended to provide accounting, legal, or tax advice, or investment recommendations, or (iii) an official statement of Coinbase. No representation or warranty is made, expressed or implied, with respect to the accuracy or completeness of the information or to the future performance of any digital asset, financial instrument or other market or economic measure. The information is believed to be current as of the date indicated and may not be updated or otherwise revised to reflect information that subsequently became available or a change in circumstances after the date of publication. Coinbase, its affiliates and its employees do not make any representation or warranty, expressed or implied, as to accuracy or completeness of the information or any other information transmitted or made available. Investing in cryptocurrency comes with risk. Certain statements in this document provide predictions and there is no guarantee that such predictions are currently accurate or will ultimately be realized. Prior results that are presented here are not guaranteed and prior results do not guarantee future performance. Recipients should consult their advisors before making any investment decision. Coinbase may have financial interests in, or relationships with, some of the assets, entities and/or publications discussed or otherwise referenced in the materials. Certain links that may be provided in the materials are provided for convenience and do not imply Coinbase's endorsement, or approval of any third-party websites or their content. Any use, review, retransmission, distribution, or reproduction of these materials, in whole or in part, is strictly prohibited in any form without the express written approval of Coinbase. Coinbase, Inc. is licensed to engage in virtual currency business activity by the New York State Department of Financial Services.



© Coinbase 2025 | Coinbase Custody International Limited
70 Sir John Rogerson's Quay | Dublin 2 | D02 R296 | Ireland

www.coinbase.com

[Get in touch](#)

[Unsubscribe](#) from future editions of this type of message.